A STUDY ON PUBLIC PERCEPTION OF AI-CREATED CONTENT IN ADVERTISING

PROJECT REPORT

Submitted to

SRM INSTITUTE OF SCIENCE AND TECHNOLOGY

In partial fulfillment of the requirements for the award of the degree of

MASTER OF BUSINESS ADMINISTRATION

ARTIFICIAL INTELLIGENCE & DATA SCIENCE

Submitted by

EDRICK I BRITTOE

Reg. No. RA2452008010025

Under the guidance of

Dr. U. MADHANRAJAN



FACULTY OF MANAGEMENT

SRM INSTITUTE OF SCIENCE AND TECHNOLOGY

KATTANKULATHUR - 603 203

SEPTEMBER 2025

BONAFIDE CERTIFICATE

This is to certify that the project titled **"A STUDY ON PUBLIC PERCEPTION OF AI-CREATED CONTENT IN ADVERTISING"**, in partial fulfillment of the requirements for the award of the degree **Master of Business Administration (MBA)** specializing in **Artificial Intelligence & Data Science**, is an original work undertaken by **EDRICK I BRITTOE (Reg. No. RA2452008010025)** during the academic year **2025 -2026** of his study at the Faculty of Management, SRM IST, Kattankulathur, under my supervision and the report has not formed the basis for the award of any Degree/Fellowship or other similar title to any candidate of any university.

Place:

Date:

Signature of Guide

Dr. U. Madhanrajan

Assistant Professor

Faculty of Management

SRM IST, Kattankulathur

Submitted to the Faculty of Management, SRM IST, Kattankulathur for the examination held on_____

INTERNAL EXAMINER **EXTERNAL EXAMINER**

DEAN - FOM

DECLARATION

I, **EDRICK I BRITTOE**, hereby declare that the Project Report, entitled **"A STUDY ON PUBLIC PERCEPTION OF AI-CREATED CONTENT IN ADVERTISING"**, submitted to the **SRM IST** in partial fulfillment of the requirements for the award of the Degree of Master of Business Administration, specializing in Artificial Intelligence & Data Science, is a record of original training undergone by me during the period **June 2025 – September 2025**, under the supervision and guidance of **Dr. U. Madhanrajan**, Faculty of Management, SRM IST, Kattankulathur and it has not formed the basis for the award of any Degree/Fellowship or other similar title to any candidate of any University.

Place:

Date: **Signature of the Student**

ACKNOWLEDGEMENT

First and foremost, I would like to extend my deepest gratitude to **Dr. T. R. Paarivendhar,** Chancellor of SRM University for providing the invaluable academic support and resources that enabled me to complete this project successfully. His visionary leadership and commitment to student development have been a constant source of inspiration.

I am also profoundly thankful to **Dr. Shivganesh Bhargava**, Dean of the Faculty of Management, SRM IST, Kattankulathur, for facilitating the environment necessary for this project. Their continuous support has been indispensable.

My sincere thanks go to **Dr. K. Santhanalakshmi**, Chairperson of the MBA Program, and Associate Professor, for her guidance and encouragement throughout the course of this project.

I would like to express my heartfelt appreciation to my project guide, **Dr. U. Madhanrajan**, for their exceptional guidance, constant encouragement, and insightful feedback. Their support has been instrumental in the successful completion of this project.

I am immensely grateful to God Almighty for His continuous blessings, providing me with the strength and perseverance to see this project through.

Lastly, I owe my deepest gratitude to my parents, whose unwavering support and encouragement have been the cornerstone of my academic and personal growth. Their belief in me has been a driving force behind this accomplishment.

EDRICK I BRITTOE

RA2452008010025

TABLE OF CONTENTS

S.NO.	TITLE	PAGE NO.
	CHAPTER I **INTRODUCTION AND RESEARCH DESIGN**	
1.1	Introduction	3
1.2	Importance of the Study in a Business Context	5
1.3	Need for the Study	6
1.4	Objectives of the Study	7
1.5	Chapterization	7
	CHAPTER II **REVIEW OF LITERATURE**	
2.1	Literature Review	10
	CHAPTER III **PROBLEM STATEMENT AND SCOPE**	
3.1	Problem Statement	20
3.2	Scope of the Study	20
3.3	Limitations of the Study	21
	CHAPTER IV **RESEARCH METHODOLOGY**	
4.1	Research Methodology	23

4.2	Tools	24
4.3	Techniques	24
4.4	Sampling Technique	24
	CHAPTER V **DATA COLLECTION AND ANALYSIS**	
5.1	Demographic Analysis	26
	CHAPTER VI **RESULTS AND DISCUSSION**	
6.1	Correlation	44
6.2	Regression	45
6.3	Chi-Square	46
6.3.1	Chi-Square	47
6.4	One-way ANOVA	48
6.4.1	One-way ANOVA	49
	CHAPTER VII **BUSINESS IMPLICATIONS**	
7.1	How Insights Can Support Decision-Making	51
7.2	Potential Impact on Cost, Revenue, Efficiency, or Customer Experience	51
7.3	Strategic Recommendations	52
	CHAPTER VIII **LIMITATIONS AND FUTURE SCOPE**	

8.1	Study Limitations	55
8.2	Future Scope	56
	CHAPTER IX **CONCLUSION**	
9.1	Findings	58
9.3	Final Remarks	59
	APPENDICES	
	Appendix A - References	61
	Appendix B - Questionnaire	64

LIST OF TABLES

TABLE NO.	TITLE	PAGE NO.
5.1.1	Age of Respondents	26
5.1.2	Gender of the Respondents	27
5.1.3	Table showing education level	28
5.1.4	Table showing occupation	29
5.1.5	Table showing platform	30
5.1.6	Table showing types of AI generated content	31
5.1.7	Table showing concerns	32
5.1.8	Table showing acceptance	33
5.1.9	Table showing trust	34
5.1.10	Table showing preference	35
5.1.11	Table showing AI is beneficial or not	36
5.1.12	Table showing a favorable view towards personalized AI ads	37
5.1.13	Table showing belief in AI's creative potential	38
5.1.14	Table showing belief in the importance of transparency in advertising	39
5.1.15	Table showing engagement	40
5.1.16	Table showing awareness of AI generated advertising	41
5.1.17	Table showing that respondents are attentive to AI created ads	42
6.2	Regression table showing (trust vs age)	45
6.3	Chi-square table showing (gender vs belief)	46
6.3.1	Chi-square table showing (occupation vs concern)	47
6.4	One-way anova table showing (preference vs education)	48
6.4.1	One-way anova table showing (Age group vs trust)	49

LIST OF FIGURES

TABLE NO.	TITLE	PAGE NO.
5.1.1	Age of Respondents	26
5.1.2	Gender of the Respondents	27
5.1.3	Chart showing education level	28
5.1.4	Chart showing occupation	29
5.1.5	Chart showing platform	30
5.1.6	Chart showing types of AI generated content	31
5.1.7	Chart showing concerns	32
5.1.8	Chart showing acceptance	33
5.1.9	Chart showing trust	34
5.1.10	Chart showing preference	35
5.1.11	Chart showing AI is beneficial or not	36
5.1.12	Chart showing a favorable view towards personalized AI ads	37
5.1.13	Chart showing belief in AI's creative potential	38
5.1.14	Chart showing belief in the importance of transparency in advertising	39
5.1.15	Chart showing engagement	40
5.1.16	Chart showing awareness of AI generated advertising	41
5.1.17	Chart showing that respondents are attentive to AI created ads	42
6.1	Correlation chart showing (gender vs comfort)	44

EXECUTIVE SUMMARY

Artificial intelligence (AI) is rapidly reshaping the advertising industry by enabling the creation of highly personalized, data-driven, and efficient marketing content. From dynamic ad generation to predictive consumer targeting, AI has given businesses powerful tools to reach audiences in innovative ways. However, the effectiveness of these advancements is determined not only by technological capabilities but also by how consumers perceive AI-generated advertising. Understanding public perception is therefore essential for businesses seeking to maximize the impact of AI in their marketing strategies.

This study investigates the public perception of AI-created content in advertising and its implications for business performance. The findings reveal a dual perspective: while consumers appreciate the personalization, speed, and creativity enabled by AI, there remain significant concerns around authenticity, emotional connection, data privacy, and ethical transparency. Many consumers perceive AI-generated ads as efficient but lacking the human touch needed to foster trust and long-term loyalty.

The insights gained hold important relevance for businesses. Firstly, consumer attitudes directly influence brand image and trust, making it critical for organizations to ensure that AI content resonates positively with their target audiences. Secondly, understanding perception helps in evaluating marketing effectiveness and return on investment (ROI), enabling businesses to refine campaigns for stronger engagement. Thirdly, knowledge of public opinion supports responsible AI adoption, ensuring compliance with ethical standards and mitigating reputational risks.

In today's competitive landscape, companies that can strategically balance automation with human creativity will achieve a significant advantage. By integrating consumer feedback into AI-driven marketing efforts, businesses can not only enhance customer experiences but also build sustainable trust and loyalty. This research emphasizes that the future of advertising lies not simply in the adoption of AI, but in its responsible, transparent, and consumer-centric implementation.

Ultimately, the study provides actionable insights for businesses, highlighting the need to align technological innovation with consumer expectations. Organizations that address public concerns while leveraging AI's strengths will be better positioned to create impactful, trustworthy, and future-ready advertising strategies.

CHAPTER 1
INTRODUCTION

1.1 INTRODUCTION

Artificial Intelligence (AI) is no longer just a futuristic concept—it has become a transformative force across multiple industries, reshaping how organizations operate and how consumers engage with products and services. One of the most notable areas where AI is making its presence felt is in the field of advertising. Traditionally, advertising has relied heavily on human creativity, intuition, and cultural understanding. Campaigns were built by teams of copywriters, designers, videographers, and strategists who worked together to create persuasive content. Today, however, advancements in AI have introduced a new way of producing advertising content, where machines can independently generate images, videos, voiceovers, and even full campaigns with minimal human input.

This rapid shift offers advertisers an exciting mix of opportunities. AI-driven tools promise efficiency, scalability, and personalization at a level that traditional methods could rarely achieve. For example, AI can analyze consumer data in real time and instantly tailor advertisements to align with individual interests, purchase history, or browsing behavior. Instead of a "one-size-fits-all" approach, brands can now deliver highly targeted content that resonates differently with each consumer. Additionally, AI reduces production costs and time, enabling businesses to launch multiple variations of ads quickly, test their effectiveness, and refine them almost instantly.

Yet, with these advantages come equally important questions and concerns. The rise of AI-generated content challenges long-standing notions of authenticity and creativity in advertising. While some consumers may appreciate the innovation and precision of AI-crafted ads, others may view them as impersonal, manipulative, or lacking the emotional depth of human storytelling. Advertising has always been as much about connection and trust as it is about persuasion, and there is growing debate over whether machines can replicate the subtle emotional cues that make campaigns memorable

Another critical dimension is consumer awareness and perception. Many individuals who encounter AI-generated advertisements may not even realize that the content was created by machines. This lack of transparency could lead to skepticism or even backlash if audiences feel misled. Moreover, the use of AI in creative industries raises broader concerns about ethics, originality, and potential job displacement. Creative professionals worry that the automation of advertising may undervalue human artistry and cultural understanding, while consumers may

question whether AI-generated messages are truly reliable or simply algorithm-driven tactics to influence behavior.

Exploring how the public perceives AI-generated advertising is crucial, as consumer attitudes ultimately determine whether these campaigns succeed or fail. While AI enables brands to deliver personalized, efficient, and cost-effective content at scale, its reception depends on how audiences interpret it. For some, AI-generated ads may feel innovative, relevant, and convenient, while for others they may appear impersonal, manipulative, or lacking emotional depth. These differences often vary across demographic groups: younger audiences, who are more accustomed to digital innovations, tend to be more open to machine-created content, whereas older generations may value human creativity more and view such ads with skepticism. Transparency also plays a significant role—clear disclosure that an ad is AI-generated may build trust for some consumers, yet for others it might raise doubts about credibility and authenticity.

The purpose of this study is to examine these varying perceptions by analyzing levels of awareness, trust, and emotional responses across audiences. The findings aim to provide valuable insights for businesses, policymakers, and creative professionals alike. For marketers, they highlight how to strike a balance between technological innovation and human authenticity in campaigns. For policymakers, they underscore the importance of setting ethical guidelines and clear disclosure practices to maintain consumer rights. For creative professionals, they reinforce that while AI can enhance efficiency, human storytelling, cultural sensitivity, and emotional resonance remain irreplaceable. Ultimately, the future of AI in advertising lies not in replacing human creativity but in complementing it—ensuring that technology enhances engagement without eroding trust and that the collaboration between machines and humans creates campaigns that are both innovative and meaningful.

As AI continues to evolve, its role in advertising will likely grow even more sophisticated, making it essential to understand public attitudes before these technologies become fully mainstream. This study, therefore, not only investigates current perceptions but also anticipates future implications for the advertising industry. By highlighting both opportunities and challenges, it seeks to contribute to a broader discussion on how innovation can coexist with ethical responsibility. In doing so, it positions AI not simply as a disruptive tool but as a catalyst for rethinking creativity, consumer engagement, and the values that define effective advertising in the digital age.

1.2 IMPORTANCE OF THE STUDY IN BUSINESS CONTEXT

The study of public perception of AI-created content in advertising holds significant importance for businesses in today's competitive marketplace. With the rapid adoption of artificial intelligence in marketing and brand communication, understanding how consumers perceive AI-generated advertisements becomes critical for strategic decision-making.

1.Consumer Trust and Brand Image

Businesses thrive on trust, and advertising directly influences brand credibility. If AI-generated content is perceived as authentic and engaging, it can strengthen brand loyalty. Conversely, negative perceptions—such as content being impersonal or manipulative—can harm reputation.

2.Marketing Effectiveness

Insights from public perception help companies evaluate whether AI-driven campaigns are delivering the intended emotional connection, personalization, and relevance. This allows businesses to refine their content strategies to maximize impact and return on investment (ROI).

3.Cost Efficiency and Resource Allocation

AI promises reduced content creation costs and faster campaign execution. However, if consumers resist AI-driven ads, businesses may waste resources. Understanding perception ensures investments in AI tools align with consumer acceptance, leading to better resource optimization.

4.Ethical and Regulatory Implications

Public opinion often influences policy and industry standards. By studying perceptions, businesses can anticipate ethical concerns such as transparency, data privacy, and manipulation, helping them stay compliant and socially responsible.

5.Future Strategic Planning

Consumer insights from this study provide a roadmap for adopting AI responsibly in marketing. This prepares businesses for future shifts in digital advertising trends and ensures long-term sustainability

1.3 NEED OF STUDY

The rapid adoption of Artificial Intelligence in advertising has transformed how content is created, delivered, and consumed. While AI provides significant advantages such as personalization, cost-efficiency, and scalability, its growing presence raises critical questions about creativity, authenticity, data privacy, and consumer trust. Despite these developments, there is still limited research on how audiences perceive AI-generated advertisements and how these perceptions influence brand relationships. Understanding these aspects is essential for ensuring ethical practices, maintaining consumer trust, and shaping responsible AI integration in the advertising industry.

Key reasons for this study include:

- Growing reliance on AI in advertising: Companies are increasingly automating ad creation with AI tools, making it vital to examine how this shift is received by consumers.
- Lack of substantial research: Existing studies on AI often focus on technical capabilities, while public perception and emotional responses remain underexplored.
- Concerns about creativity and authenticity: Audiences may question whether AI-generated ads can deliver the same emotional depth and cultural relevance as human-created campaigns.
- Ethical and social issues: Fears of job displacement in the creative industry and concerns over data privacy make this a pressing area for investigation.
- Impact on consumer trust and loyalty: Perceptions of AI-generated content directly affect how consumers engage with brands, influencing long-term relationships.
- Need for guidelines and transparency: Insights from this study can help businesses establish best practices in disclosure and responsible AI usage, ensuring consumer expectations are respected.

1.4 OBJECTIVES OF THE STUDY

PRIMARY OBJECTIVE

To examine and understand the public's awareness, attitudes, and perceptions toward AI-created content in advertising, focusing on how consumers interpret, trust, and respond to such advertisements, as well as the implications for authenticity, transparency, and acceptance in marketing practices.

SECONDARY OBJECTIVES

1. Assess public awareness and exposure to AI-generated advertisements, including visuals, text, videos, and personalized messages.
2. Examine consumer trust and acceptance of AI-driven advertising content.
3. Evaluate emotional and ethical responses such as authenticity, transparency, and concerns about manipulation.
4. Identify demographic differences in perception across age, gender, occupation, and education.
5. Provide actionable insights to help marketers, advertisers, and AI developers create ethical, consumer-friendly, and effective strategies in an AI-driven media environment.

1.5 CHAPTERIZATION

The research study consists of the following nine chapters:

1. The first chapter presents the introduction, importance and need for the study, objectives, and the overall chapter scheme.

2. The second chapter reviews existing literature on public awareness, perceptions, and adoption of Artificial Intelligence, exploring its influence on daily routines, task execution, decision-making, and lifestyle habits, and identifies the research gap.

3. The third chapter outlines the problem statement, scope and limitations of the study.

4. The fourth chapter gives a complete view of the research methodology, data collection plans, tools and techniques of this study.

5. The fifth chapter presents the demographic profile of respondents and the detailed data analysis using percentage analysis

6. The sixth chapter discusses the key findings and interprets the results of Chi-Square test, One-Way ANOVA, correlation analysis, and regression analysis.

7. The seventh chapter highlights the business implications of the study, explaining how the insights support decision-making and improve cost efficiency, revenue potential, and user satisfaction.

8. The eighth chapter describes the challenges faced during data collection and analysis and suggests directions for future research.

9. The ninth chapter concludes the study, summarizing key insights and emphasizing its value addition to business and management.

CHAPTER 2
REVIEW OF LITERATURE

2.1 LITERATURE REVIEW

Burrow, E., & Gutentag, J. (2025) analyzes how **AI-generated and human-generated advertisements** affect consumer perceptions of authenticity in advertising. She finds that AI enables more personalized messaging, but consumers still value authenticity linked to human creation. Despite widespread distrust and fear of AI, her surveys reveal AI-generated ads rate higher in authenticity and likelihood of purchase. Interviews highlight concerns about misinformation and a desire for genuine messaging, but attitudes vary by individual. Human favoritism persists yet does not override positive responses to well-crafted AI ads. Burrow concludes that transparency and further research are needed as AI's role expands in advertising.

Gkourla, A., & Schafraad, P. (2024) explores the emerging impact of AI-generated images used in advertising and how transparency about their origin influences consumer perceptions. Through an experimental design, she investigates the effects of disclosing AI versus human ownership on trust, brand authenticity, and brand attitude, revealing that disclosure does not significantly alter these perceptions. Her work extends prior research on AI-generated text to the visual domain, highlighting the rising acceptance of AI in marketing but also emphasizing consumer expectations for honesty and transparency. The study offers valuable insights for marketers on balancing AI technology integration with ethical communication to maintain consumer trust and brand reputation

Han, S. (2024). explores consumer responses to AI-generated content (AIGC) and AI disclaimers (AID), focusing on perceived authenticity and deception across utilitarian and hedonic content types. Using Kano's model, Han reveals that consumers view AI usage disclosure as a critical basic requirement, especially in utilitarian contexts where informational accuracy matters most. The study shows that perceived authenticity strongly influences satisfaction with AI-generated utilitarian content but less so with hedonic content. Han's research underscores the necessity of transparent AI labeling to maintain consumer trust and satisfaction in the growing AI-driven media landscape.

Van der Stappen, N., & Tomas, F (2024) master's thesis investigates how disclosing AI-generated content (AIGC) in Instagram ads affects consumer brand attitudes and perceived deception. The study finds that ads with AIGC disclosures lead to lower brand attitudes and higher perceived deception, with perceived deception mediating this effect. Differences in

disclosure timing (voluntary vs. involuntary) do not significantly impact brand attitude, but voluntary disclosures reduce perceived deception more than involuntary revelations. The research offers important guidance for brands and policymakers on balancing transparency and trust in AI-driven advertising.

Baek, T. H., Kim, J., & Kim, J. H. (2024) examines how disclosing AI-generated content in prosocial advertising affects consumer attitudes and donation intentions. Using three studies, they found that AI disclosure lowers perceived ad credibility and reduces favorable attitudes and donation amounts. However, these negative effects are less severe among consumers who view AI as more human-like rather than machine-like. The research highlights the importance of transparency in AI use while also recognizing that perceptions of AI's "humanness" can moderate consumer responses, offering insights for nonprofits and marketers on how to communicate AI involvement effectively.

Rae, I. (2024, May) examines how labeling content as AI-generated or AI-assisted influences user perceptions. She finds that while AI attribution lowers satisfaction and perceived creator qualifications, it does not significantly change judgments about the content's originality, trustworthiness, or quality. Rae highlights that users rely more on personal relevance and content details than on who or what created the content. Her study suggests that disclosing AI use may harm creator reputation without improving content evaluation, calling for more nuanced ways to communicate AI involvement

Denslinger, A. T. (2025) dissertation provides a comprehensive exploration of how consumer perceptions of AI-generated deepfake advertisements influence online purchase intentions. He employs the Theory of Planned Behavior to frame the investigation of perceptions around manipulation risk, eeriness, verisimilitude, and personalization. His research contributes empirical evidence highlighting that perceived manipulation risk mediates consumer attitudes and behavioral control, impacting purchase behaviors. The work also offers practical recommendations for advertisers and policymakers on the ethical deployment of deepfake technology in marketing.

Dang, N. (2025) examines how AI-generated visual content has transformed influencer marketing strategies by enabling scalable, personalized, and dynamic content creation. Dang highlights the benefits of AI in improving engagement and efficiency but also cautions about challenges related to authenticity, transparency, and regulatory compliance. The work integrates

quantitative data, interviews, and experiments to provide a comprehensive analysis of the implications of AI in this domain.

Aronsten, A. (2025) investigates how AI-generated visuals and virtual influencers impact international audience perceptions of authenticity in tourism marketing. Using Italy's "Italia. Open to Meraviglia" campaign as a case study and employing netnography, thematic, sentiment, and word frequency analyses, she reveals a predominantly critical reception reflecting concerns about cultural insensitivity and loss of authenticity. The research contributes theoretical advancements to authenticity discourse in tourism, emphasizing the tension between innovation and tradition while providing practical guidance on cultural respect and transparency for tourism marketers.

Huh, J., Nelson, M. R., & Russell, C. A. (2023) review the rapid rise of generative AI like ChatGPT and its profound impact on advertising research and practice. They highlight AI's role in transforming consumer interactions, advertising processes, data use, and industry structures, while stressing concerns about truthfulness, ethics, and regulation. The article calls for urgent interdisciplinary research, ethical guidelines, and advertising literacy to ensure responsible AI use. Their work sets a foundational agenda for understanding AI's potential and challenges in reshaping advertising theory and practice.

Enache, M. C. (2020) examines the transformative role of AI in advertising, emphasizing how AI enhances customer targeting, campaign optimization, and personalization. She highlights AI tools like predictive analytics, programmatic advertising, and automated content creation that improve efficiency and effectiveness in ad campaigns. The study showcases AI's capability to uncover new customer segments and optimize ad spend, offering competitive advantages over traditional methods. Enache underscores the importance for advertisers to embrace AI while considering ethical and privacy implications.

Rodgers, S. (2021) introduces a themed issue exploring the promises and perils of AI in advertising, highlighting AI's transformative potential across the advertising process—from creative development to placement and measurement. She synthesizes diverse definitions of AI advertising, proposing a framework categorizing research by AI type, function, and learning approach. The article summarizes key contributions from six papers discussing AI influencers, contextual ad placement, creative AI systems, detection of ad content mismatches, AI-enabled in-store experiences, and AI accuracy in social media analysis. Rodgers emphasizes the

importance of addressing challenges like algorithmic bias, transparency, and ethical considerations while advancing interdisciplinary research to shape the future of AI advertising.

Xin, Q., He, Y., Pan, Y., Wang, Y., & Du, S. (2023) present an AI-driven advertising push system based on natural language processing (NLP) to enhance the targeting accuracy and operational efficiency of advertising, especially for outdoor and web ads. They emphasize the importance of transforming huge volumes of unstructured data into actionable knowledge through advanced text mining and machine learning techniques like Hidden Markov Models and TF-IDF. Their approach enables personalized ad recommendations by analyzing user behavior patterns and content features, addressing the shortcomings of traditional manual evaluation methods. Together, their work contributes a practical, scalable AI advertising solution that improves ad relevance, user experience, and overall advertising effectiveness in dynamic digital environments

Dimitrieska, S. (2024) highlights the evolution and impact of generative artificial intelligence (GenAI) as a transformative force in advertising and marketing. She underscores GenAI's ability to create original, personalized content and optimize advertising strategies across key industries like banking, retail, and media. The study emphasizes benefits such as enhanced efficiency, deeper consumer engagement, and accurate targeting while acknowledging challenges like ethical concerns, data bias, and regulatory gaps. Dimitrieska contributes a balanced perspective advocating for responsible AI adoption to drive innovation and improved outcomes in advertising.

Buch, I., & Thakkar, M. (2021) analyze the evolving role of artificial intelligence (AI) in advertising, highlighting its potential to revolutionize marketing through enhanced efficiency, personalization, and data-driven decision-making. They emphasize the transformative impact of AI on the consumer journey, from recognizing needs to post-purchase engagement, and discuss sophisticated AI techniques such as machine learning, natural language processing, and computer vision used in targeted advertising. The research also addresses challenges like click fraud and ethical considerations, urging marketers to adopt AI thoughtfully while mitigating risks. Their work provides a comprehensive overview of AI's current applications and future implications in advertising

Başev, S. E. (2024) examines the historical evolution of communication with a focus on the digital revolution's impact, highlighting how AI is transforming the advertising industry. It

discusses AI's superior efficiency in data processing, content creation, and automated decision-making compared to traditional methods. The paper explores AI applications such as programmatic advertising, augmented and virtual reality, and the Metaverse, emphasizing their role in shaping future advertising strategies. It concludes by addressing AI's creative potential, ethical challenges, and its evolving relationship with human roles in advertising.

Prem, Arun & Koshy, Ligo & Kg, Jibumon. (2025) The authors empirically investigate public perception, trust, privacy concerns, and consumer behavior related to AI-driven marketing. Their study highlights that while AI enhances consumer engagement and purchase convenience through personalized recommendations and chatbots, significant privacy and transparency issues hinder full adoption. They identify key factors influencing consumer trust, such as accuracy, data security, transparency, and personalization, demonstrating their impact on purchase behavior. Their research contributes valuable insights and practical recommendations for businesses and policymakers to build trust and optimize AI marketing strategies in the evolving digital landscape.

Cha, E., & Wang, D(2025) examine how generative AI image advertising impacts consumer brand awareness in China, using survey data and brand equity theory. Their study finds that the informativeness, entertainment, and especially credibility of AI image ads all significantly increase brand awareness, with credibility being the most influential. They also show that consumers' willingness to accept AI-generated ads strongly predicts enhanced brand awareness. The authors recommend focusing on ad credibility and ethical considerations to build trust and improve advertising effectiveness. This research fills a gap in the literature and offers practical guidance for marketers using AI-driven advertising.

Wortel, C., Vanwesenbeeck, I., & Tomas, F. (2024) explores how AI disclosures in Instagram ads impact consumer attitudes, including advertising attitude, brand attitude, and source credibility. Using an online experiment, the authors find that AI disclosures reduce advertising attitude, particularly for consumers with high AI aversion, but have no significant direct effect on brand attitude or source credibility. Perceived manipulative intent mediates these effects, with AI disclosures lowering manipulative intent, suggesting consumers appreciate transparency despite disliking AI-generated ads. The authors also find no difference between disclosing AI use in images versus text. This research highlights the complex effects of AI

transparency in advertising, offering insights for marketers, policymakers, and platforms balancing disclosure and consumer trust.

Ivanov, S. V.(2025) explores how generative AI (GEN AI) is impacting advertising and PR content creation through expert interviews. The research highlights benefits such as automating routine tasks, generating diverse content, enhancing productivity, and enabling personalized campaigns. However, risks include ethical concerns, reduced creativity, dependency on AI, and the need for updated skills and education. Experts agree GEN AI complements rather than replaces human creativity, emphasizing the continued importance of emotional and contextual understanding. The study calls for ethical frameworks and educational reforms to prepare professionals for integrating AI tools effectively. Overall, GEN AI is seen as a transformative force that reshapes marketing workflows while raising important challenges.

Nabb, E., & Pettersson, L. (2024) critically explore the role of AI-generated content in targeted digital advertising. They analyze how advanced algorithms are reshaping ad personalization and consumer engagement but highlight that this progress comes with notable challenges, particularly regarding privacy concerns, ethical data use, and regulatory compliance. Their research underscores the need for transparent data practices and advocates for balancing technological innovation with consumer trust and legal standards. By combining theoretical frameworks with empirical analysis, the authors provide actionable insights for marketers and policymakers on the responsible use of AI in digital advertising.

Al Kautsar, I., Sulistiyono, A., & Muryanto, Y. T. (2024) examine the impact of AI-driven advertising on consumer protection, focusing on the potential for AI to mislead or deceive consumers. They identify new legal and ethical risks that arise as AI makes advertisements more personalized and realistic, exacerbating issues such as disinformation, manipulation, and ad fraud. Using a normative juridical approach, the authors argue that existing laws in Indonesia and globally require updates, recommending clearer legal definitions, rules on AI liability, broader interpretation of promotional activities, and stricter regulation of misleading content. Their contribution lies in highlighting the urgent need for adaptive legal frameworks, stronger disclosure, and more consistent consumer protections in the age of sophisticated AI-enabled advertising

Sands, S., Demsar, V., Ferraro, C., Wilson, S., Wheeler, M., & Campbell, C. (2025) investigate how “leadership for the greater good” can reduce consumer aversion to AI-generated advertising. Their experiments show that when brands are open about using AI and

demonstrate a commitment to broader societal values, negative consumer reactions—such as distrust and diminished brand attitude—are significantly reduced. The authors highlight that ethical leadership and clear communication boost credibility and purchase intention, even when consumers know an ad is AI-generated. Their research provides clear guidance for brands: leveraging responsible, pro-social leadership is key to building consumer trust in an era of AI-driven marketing.

Adesina, T. (2025) explores how AI agents are transforming advertising by enhancing efficiency, personalization, predictive analytics, and consumer engagement. He balances these benefits with concerns about ethics, privacy, transparency, and creativity. Using case studies like Coca-Cola, Netflix, Nike, and Sephora, Adesina shows the real-world impact of AI-driven campaigns. His key contribution lies in stressing both the opportunities and risks of AI, while recommending responsible adoption that combines AI efficiency with human creativity. Overall, his work provides valuable insights for academics and practitioners on the sustainable use of AI in advertising.

Sartori, L., & Bocca, G. (2023) focus on the social dimensions of AI by advocating for a socio-technical perspective that incorporates individuals' awareness, knowledge, and emotional responses to AI. They explore how public narratives—both hopeful and fearful—shape societal perceptions and acceptance of AI technologies. Using an original empirical study from the University of Bologna, they reveal how factors like gender, generation, and technical competence influence attitudes towards AI and robots. Their research underscores the importance of involving non-experts in AI discourse and considering social inequalities to build more inclusive and responsible AI systems.

Ortega, J. H. J. C. (2025, August) explore AI's transformative impact on marketing practices and industry workflows in the Philippine context. They highlight significant benefits such as enhanced targeting, personalized content, and operational efficiency, while also addressing pressing challenges like skill shortages, ethical concerns, and infrastructure gaps. Through empirical research grounded in the Task Technology Fit model, they reveal variable AI adoption across sectors, with optimism balanced by caution about workforce readiness and ethical oversight. The study contributes valuable insights into AI’s disruptive potential and calls for concerted efforts in education, collaboration, and policy to foster responsible and inclusive AI integration in Philippine digital marketing.

Rauvala, S. (2023) provides a comprehensive bibliometric review and thematic analysis of AI in advertising and marketing communications. Rauvala highlights AI's potential to improve advertising efficiency and targeting while acknowledging consumer reservations about interactive, unfamiliar AI technology. The research addresses social and ethical considerations, emphasizing the need for responsible AI use that protects consumer privacy and wellbeing. She calls for deeper future research into moral coding of AI, consumer emotional response to AI-generated ads, and practical guidelines to help marketers effectively and ethically integrate AI technology.

.**Suraña-Sánchez, C., & Aramendia-Muneta, M. E. (2024)** emphasize AI's capacity to revolutionize targeting, personalization, content creation, and campaign optimization, enabling more efficient and tailored consumer engagement. However, they also underscore persistent challenges including ethical concerns like bias, privacy, and transparency, alongside the changing roles and skill demands in marketing professions. Key contributions include recognizing AI's dual role as both a creative collaborator and a potentially depersonalizing force, advocating for leadership and ethical frameworks to mitigate consumer skepticism, and calling for interdisciplinary research exploring social, emotional, and regulatory dimensions. Together, these works advance a nuanced understanding of AI's benefits and risks in advertising, paving the way for responsible innovation that balances technological efficiency with consumer trust and ethical standards.

Peter, R., Roshith, V., Lawrence, S., Mona, A. E., Narayanan, K. B., & Yusaira, F. (2025)

examine AI profoundly transforms advertising by serving as a powerful creative and operational tool that enhances targeting, personalization, and campaign effectiveness. Researchers emphasize the need to balance AI-driven efficiency with ethical considerations such as transparency, privacy, and trust-building. Consumer acceptance hinges on ad credibility, responsible brand leadership, and clear communication about AI usage. The research also integrates social, emotional, and regulatory perspectives, advocating for inclusive practices, workforce readiness, and responsible AI adoption. Altogether, these insights guide marketers and policymakers to harness AI's benefits while mitigating risks and fostering positive consumer relationships in the evolving digital advertising landscape.

Akbari, D. A., Sumarwan, U., Hasanah, N., & Edison, R. E. (2023) examine the roles of machine-driven and human endorsers in influencing consumer attention during advertising campaigns. They highlight that AI endorsers offer unmatched scalability and customization,

capable of tailoring content and predicting consumer responses, but their impact varies across demographics. Human endorsers, however, excel in building emotional connections, authenticity, and trust with consumers. The authors suggest a complementary approach, integrating both AI and human endorsers strategically to optimize advertising effectiveness, and call for further research on combining these elements to leverage their unique strengths.

CHAPTER 3
PROBLEM STATEMENT AND SCOPE

3.1 PROBLEM STATEMENT

The rapid adoption of Artificial Intelligence (AI) in advertising has introduced both opportunities and challenges. While AI-generated content such as automated copywriting, personalized ads, and image or video creation offers efficiency and innovation, it raises critical concerns about authenticity, originality, and trustworthiness. Many consumers perceive AI-created advertisements as lacking the human touch, leading to doubts about emotional depth and cultural sensitivity. The absence of transparency, where audiences are often unaware that the content is AI-generated, further increases mistrust. Ethical issues such as bias, misinformation, and accountability also remain unresolved. Public perception is highly divided—while younger, tech-savvy audiences may appreciate AI-driven creativity, others view it as intrusive or manipulative. Negative perceptions can damage brand credibility and reduce the effectiveness of campaigns, making it crucial to study how consumers evaluate trust, creativity, and ethics in AI-generated advertising content.

3.2 SCOPE OF STUDY

- Evaluates public perception of AI-generated content in advertising.
- Examines the growing integration of artificial intelligence in marketing and its impact on consumer responses.
- Includes AI-generated visual content, voiceovers, text, and personalized advertising messages.
- Investigates whether such ads are viewed as creative, authentic, trustworthy, or intrusive.
- Considers differences in perception across age, gender, occupation, and education levels.
- Explores the level of consumer awareness of AI in advertising and their willingness to accept it.
- Ethical Concerns: Addresses transparency, authenticity, and fears of human job displacement in creative industries.
- Covers both online and offline advertising spaces where AI-generated content is visible.

- Provides insights for marketers, advertisers, and developers to design strategies that align innovation with consumer values, ethical practices, and long-term trust.

3.3 LIMITATIONS OF THE STUDY

- **Self-reported responses**: Participant answers may be influenced by personal biases, limited awareness, or social desirability.
- **Time-bound perceptions**: Attitudes captured reflect views at one point in time opinions may shift as AI technologies evolve.
- **Limited demographics**: Focuses mainly on age, gender, occupation, and education, without fully covering cultural, regional, or socio-economic factors.
- **Behavior not measured**: Examines awareness, trust, and ethical concerns but does not assess the direct impact on purchase decisions or brand loyalty.
- **Scope restriction**: Concentrates only on AI applications in advertising, excluding other areas of marketing and AI usage that may affect consumer perceptions**.**

CHAPTER 4
RESEARCH METHODOLOGY

4.1 RESEARCH METHODOLOGY

1. Types of Research

- **Descriptive Research** – to provide an overview of how consumers currently perceive AI-generated advertising, focusing on awareness, trust, acceptance, and ethical concerns.
- **Exploratory Research** – to investigate new insights and emerging themes, especially in areas where limited research exists, such as demographic differences and emotional responses to AI-created ads.
- **Quantitative Approach** – through surveys and structured questionnaires to collect measurable data on awareness, attitudes, and levels of trust.

2. Data Collection Methods

The study will employ both **primary** and **secondary** methods of data collection:

- **Primary Data Collection**
    - **Questionnaires/Surveys** – distributed online and offline to capture public opinion on AI-generated advertisements.
    - **Interviews/Focus Groups** – conducted with selected participants to gain in-depth insights into emotional responses, trust, and ethical concerns.
- **Secondary Data Collection**
    - Review of academic journals, conference papers, and industry reports on AI in advertising.
    - Articles, whitepapers, and case studies from marketing agencies and technology firms.
    - Data from credible online sources, including reports by organizations like PwC, McKinsey, and Deloitte on AI in marketing.

3. Sources of Data

- **Primary Sources**:
    - General public (diverse demographic groups such as age, gender, education, and profession).

    - Marketing professionals and advertising experts (optional, for expert insights).

- **Secondary Sources**:

    - Published academic research on AI, digital marketing, and consumer psychology.
    - Online resources such as research databases (Google Scholar, ResearchGate, IEEE, Emerald, etc.)

4.2 TOOLS

- Python
- Excel
- Google forms

4.3 TECHNIQUES

- Correlation
- Regression
- Chi-square
- One way-Anova

4.4 SAMPLING TECHNIQUE

This study utilizes convenience sampling as the main method for participant selection. Convenience sampling is a non-probability technique that involves choosing respondents based on their availability and willingness to take part. Considering the broad and diverse population influenced by Artificial Intelligence, this approach enables the collection of responses from individuals who are easily accessible.

CHAPTER 5

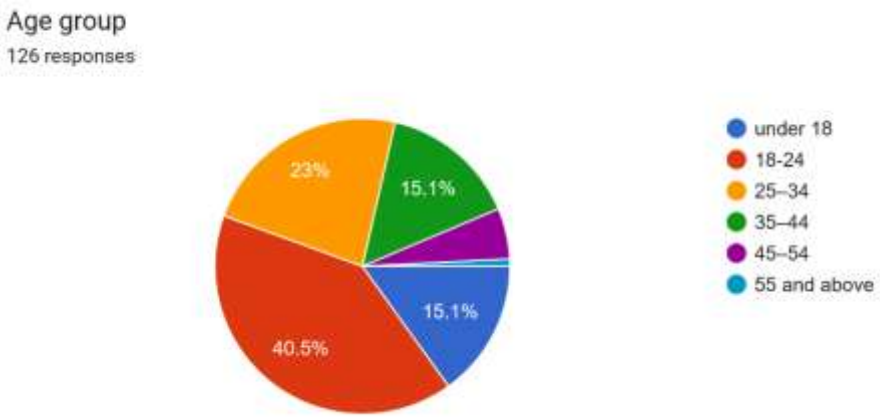
DATA COLLECTION & ANALYSIS

5.1 **DEMOGRAPHIC ANALYSIS**

The simple percentage method is a statistical technique used to analyze and interpret data in research. It involves calculating the percentage of respondents or observations that fall into different categories or groups.

5.1.1 AGE OF RESPONDENTS

S.NO	AGE	NO OF RESPONDANTS	% OF RESPONDANTS
1	under 18	19	15.1
2	18-24	51	40.5
3	25–34	29	23
4	35–44	19	15.1
5	45–54	7	5.6
6	55 and above	1	0.8
7	TOTAL	126	100



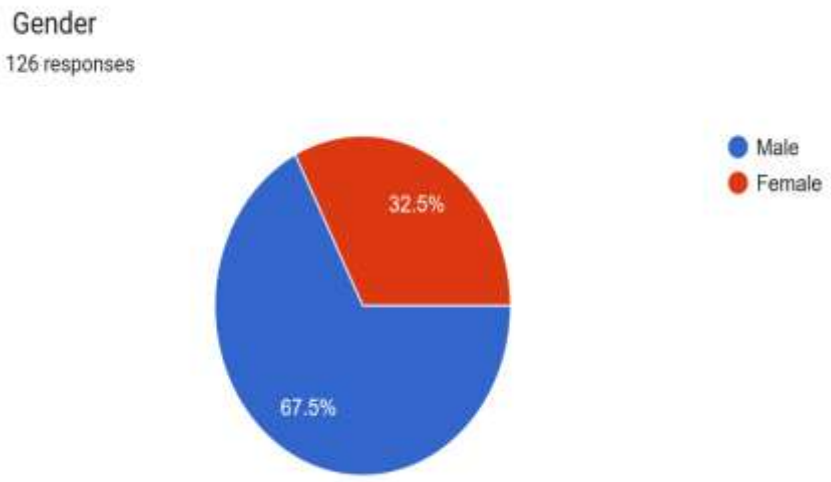
5.1.1 CHART AGE OF RESPONDENTS

INFERENCE

The chart shows that the majority of respondents are young adults, with 18–24 (40.5%) and 25–34 (23%) making up the largest groups. Older age groups (45+) have very low representation, indicating the data is youth-dominated.

5.1.2 GENDER OF RESPONDANTS

S.NO	GENDER	NO OF RESPONDANTS	% OF RESPONDANTS
1	Male	85	67.5
2	Female	41	32.5
3	TOTAL	126	100



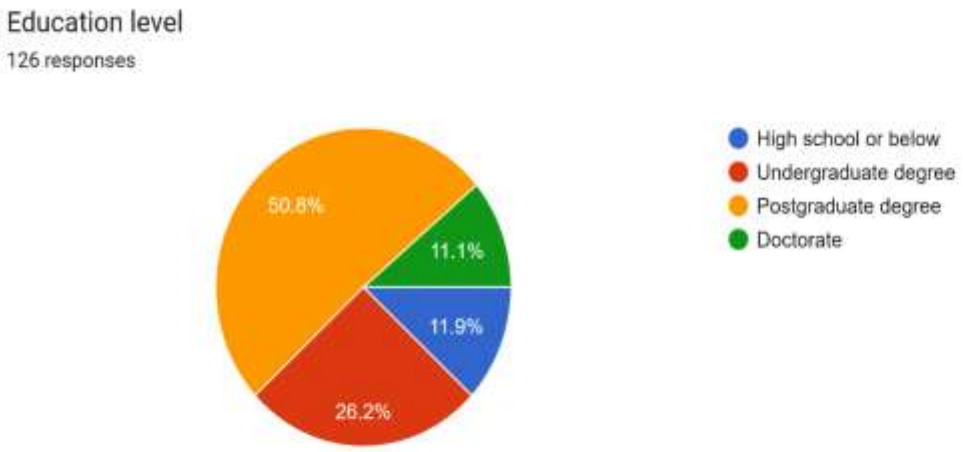
5.1.2 CHART GENDER OF RESPONDANTS

INFERENCE

The above table shows that around 67.5% are male (majority) and 32.5% are female.

5.1.3 TABLE SHOWING EDUCATION LEVEL

S.NO	EDUCATION LEVEL	NO OF RESPONDANTS	% OF RESPONDANTS
1	High school or below	15	11.9
2	Undergraduate degree	33	26.2
3	Postgraduate degree	64	50.8
4	Doctorate	14	11.1
5	TOTAL	126	100



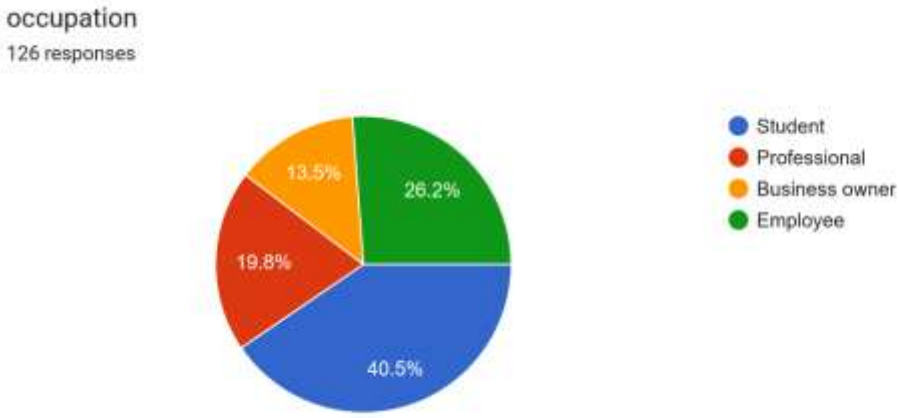
5.1.3 CHART SHOWING EDUCATION LEVEL

INFERENCE

The chart shows that postgraduates form the majority (50.8%), followed by undergraduates (26.2%). A smaller share is from high school or below (11.9%) and doctorates (11.1%), indicating the data is dominated by highly educated respondents.

5.1.4 TABLE SHOWING OCCUPATION

S.NO	OCCUPATION	NO OF RESPONDANTS	% OF RESPONDANTS
1	Student	51	40.5
2	Professional	25	19.8
3	Business owner	17	13.5
4	Employee	33	26.2
5	TOTAL	126	100



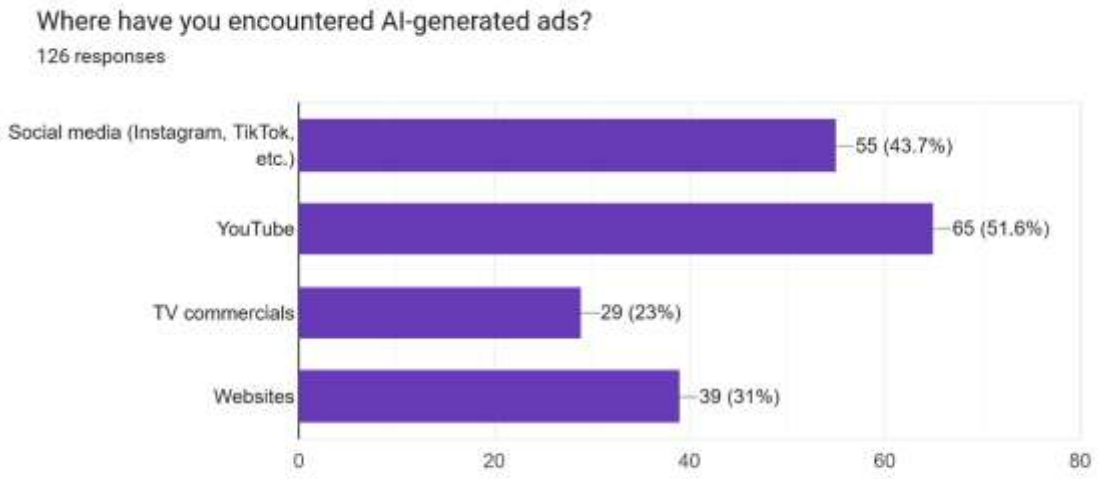
5.1.4 CHART SHOWING OCCUPATION

INFERENCE

The chart shows that students form the largest group (40.5%), followed by employees (26.2%). Professionals (19.8%) and business owners (13.5%) make up smaller portions, indicating the data is student-dominated with decent employee representation.

5.1.5 TABLE SHOWING PLATFORM

S.NO	PLATFORM	NO OF RESPONDANTS	% OF RESPONDANTS
1	Social media(Instagram,Tiktok,etc)	55	29.25
2	YouTube	65	34.57
3	TV commercials	29	15.42
4	Websites	39	20.47
5	TOTAL	188	100



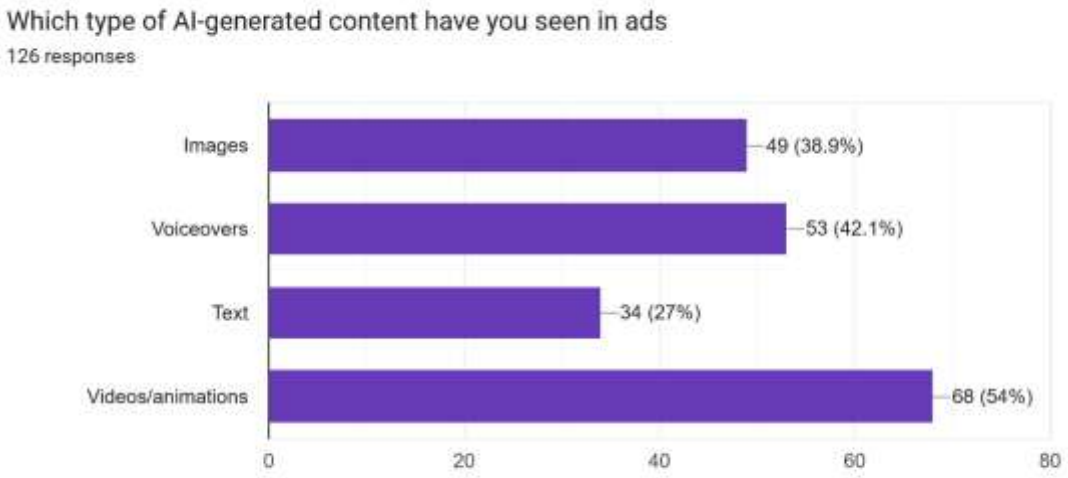
5.1.5 CHART SHOWING PLATFORM

INFERENCE

The chart shows that YouTube (51.6%) and social media platforms (43.7%) are the most preferred sources of influence. In contrast, websites (31%) and TV commercials (23%) play a smaller role, indicating a clear dominance of digital platforms over traditional media.

5.1.6 TABLE SHOWING TYPE OF AI GENERATED CONTENT

S.NO	TYPE	NO OF RESPONDANTS	% OF RESPONDANTS
1	Images	49	24.01
2	Voiceovers	53	25.98
3	Text	34	16.67
4	Video/animations	68	33.33
5	TOTAL	204	100



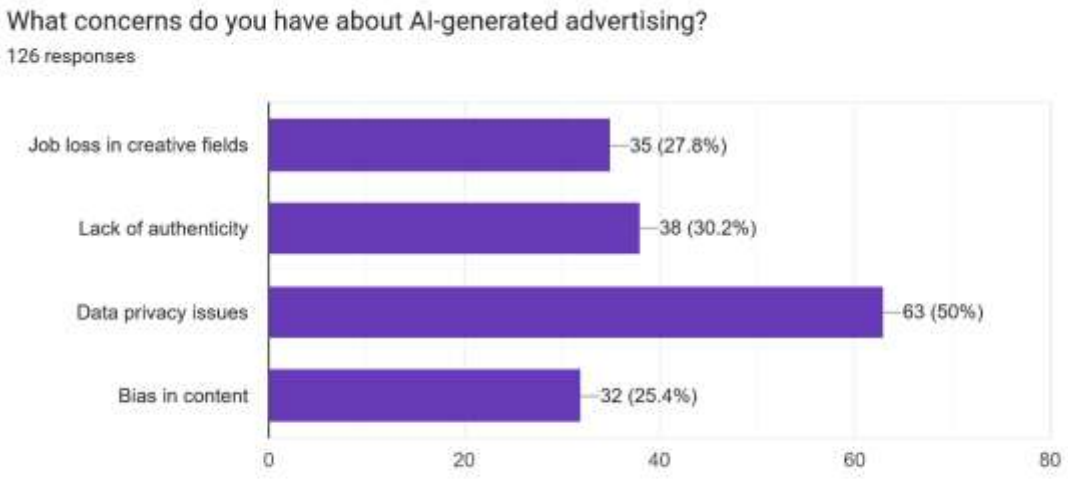
5.1.6 CHART SHOWING TYPE OF AI GENERATED CONTENT

INFERENCE

The chart shows that videos/animations (54%) are the most preferred content type, followed by voiceovers (42.1%) and images (38.9%). Text (27%) is the least favored, highlighting a strong preference for visual and interactive formats over plain text.

5.1.7 TABLE SHOWING CONCERNS

S.NO	CONCERNS	NO OF RESPONDANTS	% OF RESPONDANTS
1	Job loss in creative fields	35	20.83
2	Lack of authenticity	38	22.61
3	Data privacy issues	63	37.5
4	Bias in content	32	19.04
5	TOTAL	168	100



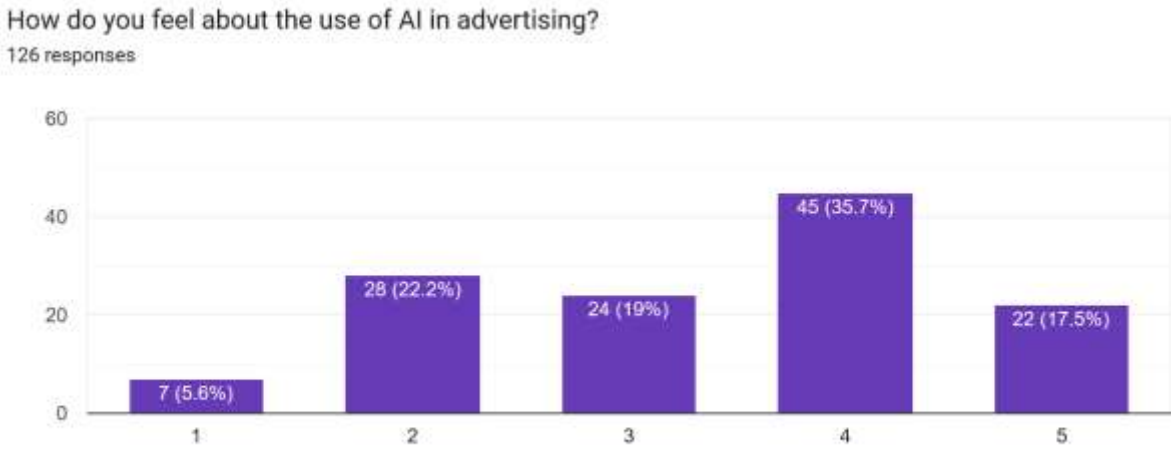
5.1.7 CHART SHOWING CONCERNS

INFERENCE

The chart shows that data privacy issues (50%) are the top concern, followed by job loss in creative fields (27.8%) and bias in content (25.4%). Lack of authenticity (23%) is a relatively smaller concern, highlighting that privacy risks dominate public worries about AI-created content.

5.1.8 TABLE SHOWING ACCEPTANCE

S.NO	ACCEPTANCE	NO OF RESPONDANTS	% OF RESPONDANTS
1	Very Negative	7	5.6
2	Negative	28	22.2
3	Neutral	24	19
4	Positive	45	35.7
5	Very Positive	22	17.5
6	TOTAL	126	100



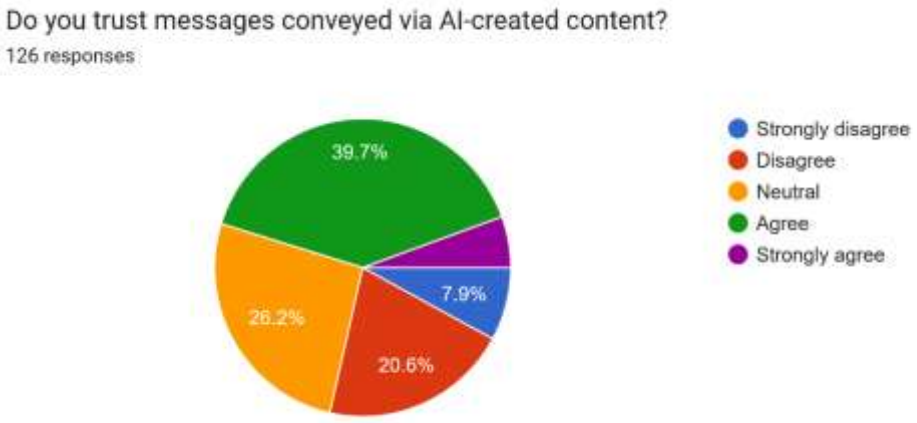
5.1.8 CHART SHOWING ACCEPTANCE

INFERENCE

Based on the chart, the public sentiment towards AI in advertising is generally positive, with a combined 53.2% of respondents having a positive or very positive opinion. In contrast, only 27.8% of people hold a negative or very negative view.

5.1.9 TABLE SHOWING TRUST

S.NO	TRUST	NO OF RESPONDANTS	% OF RESPONDANTS
1	Strongly Disagree	10	7.9
2	Disagree	26	20.6
3	Neutral	33	26.2
4	Agree	50	39.7
5	Strongly Agree	7	5.6
6	TOTAL	126	100



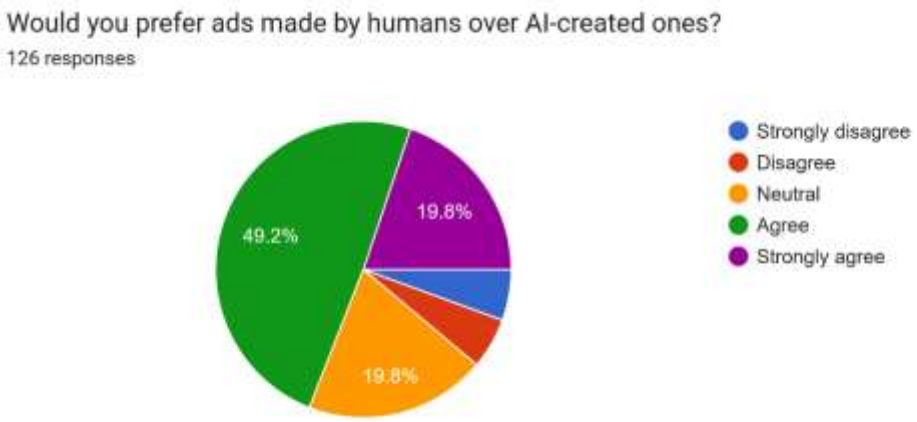
5.1.9 CHART SHOWING TRUST

INFERENCE

Based on the pie chart, trust in AI-created content is mixed. A slight majority of 47.6% of respondents agreed or strongly agreed they trust such messages. However, a significant portion—26.2% of respondents—were neutral, while 28.5% actively disagreed or strongly disagreed. This indicates a divided public opinion with a lean towards trust, but a notable level of skepticism still exists.

5.1.10 TABLE SHOWING PREFERENCE (HUMAN CREATED ADS OVER AI)

S.NO	PREFERNCE	NO OF RESPONDANTS	% OF RESPONDANTS
1	Strongly Disagree	7	5.6
2	Disagree	7	5.6
3	Neutral	25	19.8
4	Agree	62	49.2
5	Strongly Agree	25	19.8
6	TOTAL	126	100



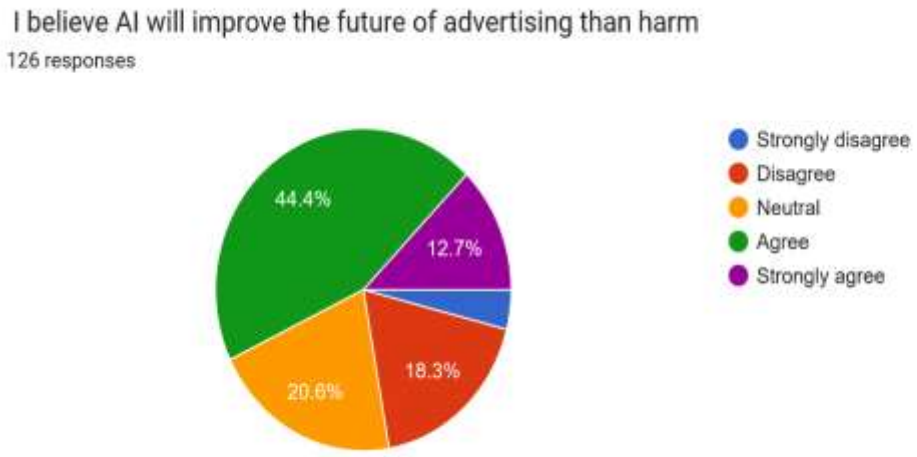
5.1.10 CHART SHOWING PREFERENCE (HUMAN CREATED ADS OVER AI)

INFERENCE

Based on the chart, a significant majority of respondents prefer ads made by humans over AI-created ones, with a combined 69% of people agreeing or strongly agreeing. Conversely, only a small portion, 11.2%, disagreed with this preference. The remaining 19.8% were neutral.

5.1.11 TABLE SHOWING THAT AI IS BENEFITIAL OR NOT

S.NO	BENEFITIAL OR NOT	NO OF RESPONDANTS	% OF RESPONDANTS
1	Strongly Disagree	5	4
2	Disagree	23	18.3
3	Neutral	26	20.6
4	Agree	56	44.4
5	Strongly Agree	16	12.7
6	TOTAL	126	100



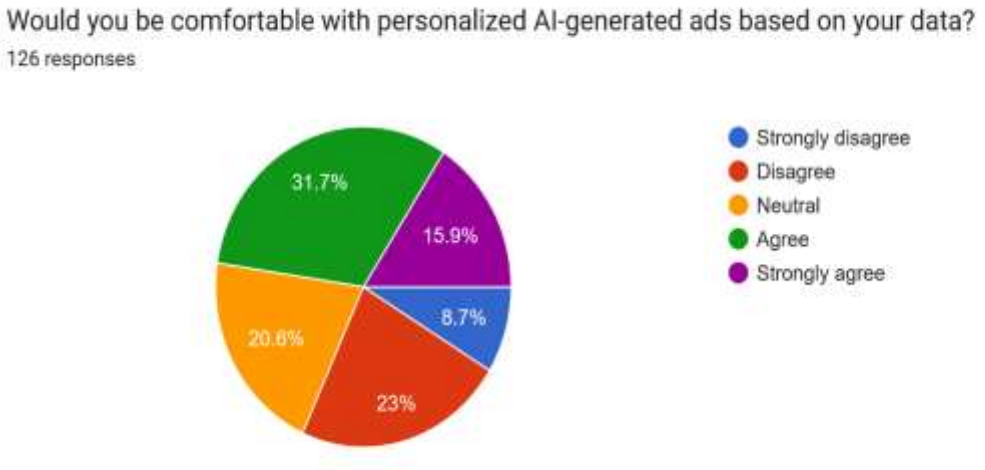
5.1.11 CHART SHOWING BENEFITIAL THAT AI IS BENEFITIAL OR NOT

INFERENCE

Based on the chart, the majority of respondents believe AI will improve the future of advertising rather than harm it. A combined 57.1% of people agreed or strongly agreed with this statement, while only 20.6% disagreed or strongly disagreed. The remaining 20.6% were neutral on the matter.

5.1.12 TABLE SHOWING A FAVORABLE VIEW TOWARDS PERSONALISED AI ADS

S.NO	FAVORABLE VIEW	NO OF RESPONDANTS	% OF RESPONDANTS
1	Strongly Disagree	11	8.7
2	Disagree	29	23
3	Neutral	26	20.6
4	Agree	40	31.7
5	Strongly Agree	20	15.9
6	TOTAL	126	100



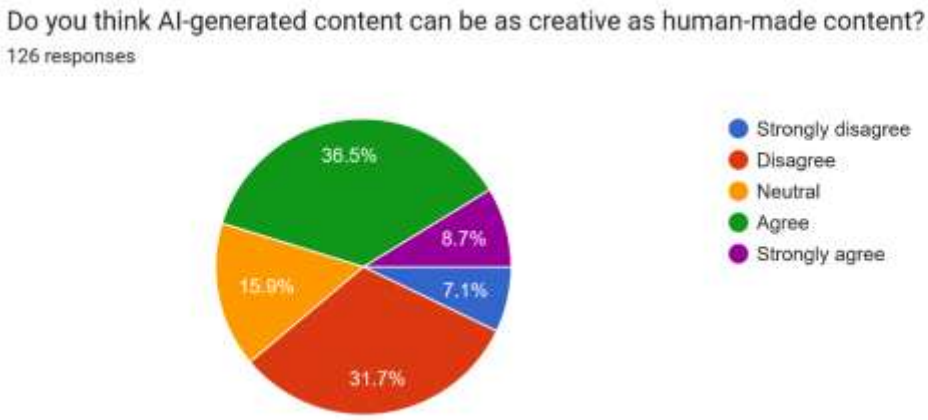
5.1.12 CHART SHOWING A FAVORABLE VIEW TOWARDS PERSONALISED AI ADS

INFERENCE

Based on the pie chart, the public is divided on the comfort of personalized AI-generated ads. While 47.6% of respondents agreed or strongly agreed they'd be comfortable, a combined 31.7% disagreed or strongly disagreed. The remaining 20.6% were neutral on the matter.

5.1.13 TABLE SHOWING BELIEF IN AI's CREATIVE POTENTIAL

S.NO	BELIEF AI's POTENTIAL	NO OF RESPONDANTS	% OF RESPONDANTS
1	Strongly Disagree	9	7.1
2	Disagree	40	31.7
3	Neutral	20	15.9
4	Agree	46	36.5
5	Strongly Agree	11	8.7
6	TOTAL	126	100



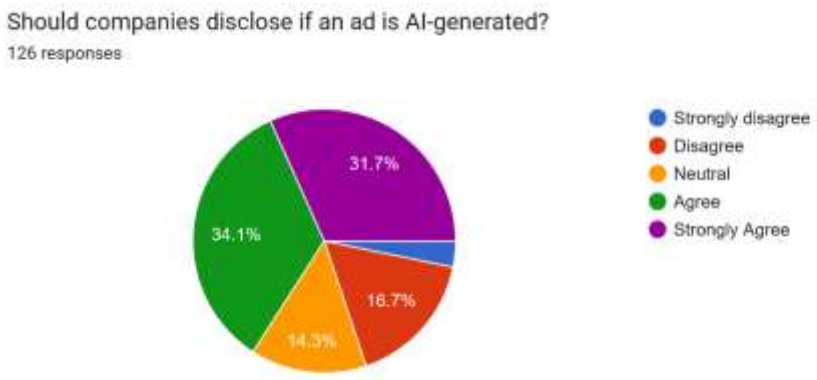
5.1.13 CHART SHOWING BELIEF IN AI's CREATIVE POTENTIAL

INFERENCE

Based on the chart, public opinion is fairly divided on whether AI-generated content can be as creative as human-made content. While a combined 45.2% of respondents agreed or strongly agreed, a nearly equal percentage, 38.8%, disagreed or strongly disagreed. The remaining 15.9% were neutral.

5.1.14 TABLE SHOWING BELIEF IN THE IMPORTANCE OF TRANSPARENCY IN ADVERTISING

S.NO	TRANSPARENCY IN ADVERTISING	NO OF RESPONDANTS	% OF RESPONDANTS
1	Strongly Disagree	4	3.2
2	Disagree	21	16.7
3	Neutral	18	14.3
4	Agree	43	34.1
5	Strongly Agree	40	31.7
6	TOTAL	126	100



5.1.14 CHART SHOWING BELIEF IN THE IMPORTANC

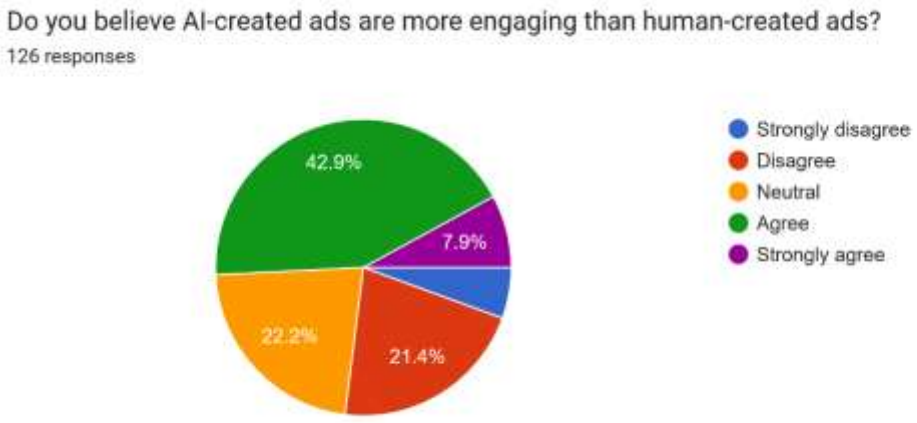
E OF TRANSPARENCY IN ADVERTISING

INFERENCE

Based on the chart, there is an overwhelming consensus that companies should disclose if an ad is AI-generated. A combined 65.8% of respondents agreed or strongly agreed with the statement. Only 18.7% disagreed, while a small portion of 14.3% remained neutral.

5.1.15 TABLE SHOWING ENGAGEMENT

S.NO	ENGAGMENT	NO OF RESPONDANTS	% OF RESPONDANTS
1	Strongly Disagree	7	5.6
2	Disagree	27	21.4
3	Neutral	28	22.2
4	Agree	54	42.9
5	Strongly Agree	10	7.9
6	TOTAL	126	100



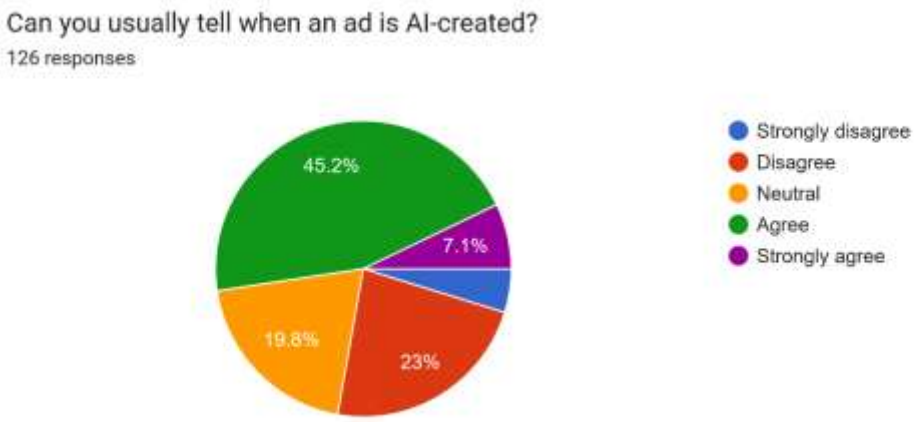
5.1.15 CHART SHOWING ENGAGEMENT

INFERENCE

Based on the chart, more people believe that AI-created ads are more engaging than human-created ones, with a combined 50.8% of respondents agreeing or strongly agreeing. Conversely, 25% of respondents disagreed or strongly disagreed, while 22.2% remained neutral.

5.1.16 TABLE SHOWING AWARENESS OF AI-GENERATED ADVERTISING

S.NO	AWARNESS	NO OF RESPONDANTS	% OF RESPONDANTS
1	Strongly Disagree	6	4.8
2	Disagree	29	23
3	Neutral	25	19.8
4	Agree	57	45.2
5	Strongly Agree	9	7.1
6	TOTAL	126	100



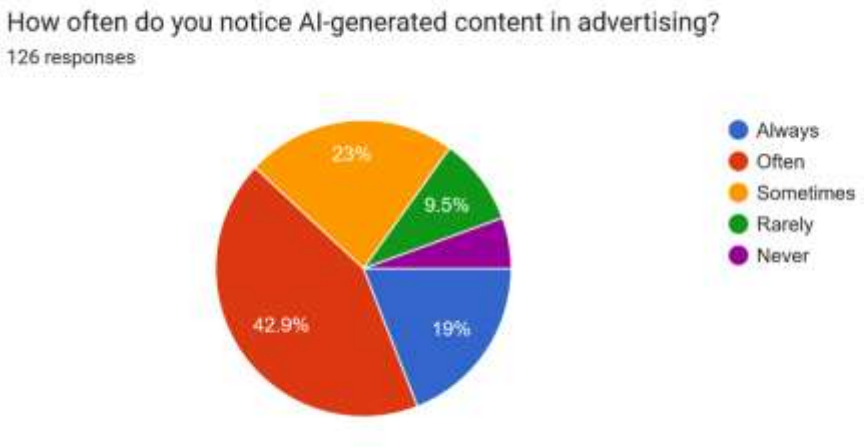
5.1.16 CHART SHOWING AWARENESS OF AI-GENERATED ADVERTISING

INFERENCE

Based on the pie chart, most people believe they can usually tell when an ad is AI-created, with a combined 52.3% of respondents agreeing or strongly agreeing. Conversely, a combined 30.1% disagreed or strongly disagreed, while 19.8% remained neutral. This suggests that AI-generated ads are often not yet indistinguishable from human-made ones.

5.1.17 TABLE SHOWING THAT RESPONDENTS ARE ATTENTIVE TO AI-CREATED ADS

S.NO	AWARNESS	NO OF RESPONDANTS	% OF RESPONDANTS
1	Always	24	19
2	Often	54	42.9
3	Sometimes	29	23
4	Rarely	12	9.5
5	Never	7	5.6
6	TOTAL	126	100



5.1.17 CHART SHOWING THAT RESPONDENTS ARE ATTENTIVE TO AI-CREATED ADS

INFERENCE

Based on the pie chart, most people either always or often notice AI-generated content in advertising, with these two categories making up a combined 61.9% of responses. Only a small percentage, 9.5%, rarely notice it, and 23% notice it sometimes. This suggests AI-generated content is becoming a common and recognizable element in advertising.

CHAPTER 6
RESULTS AND DISCUSSION

6.1 CORRELATION

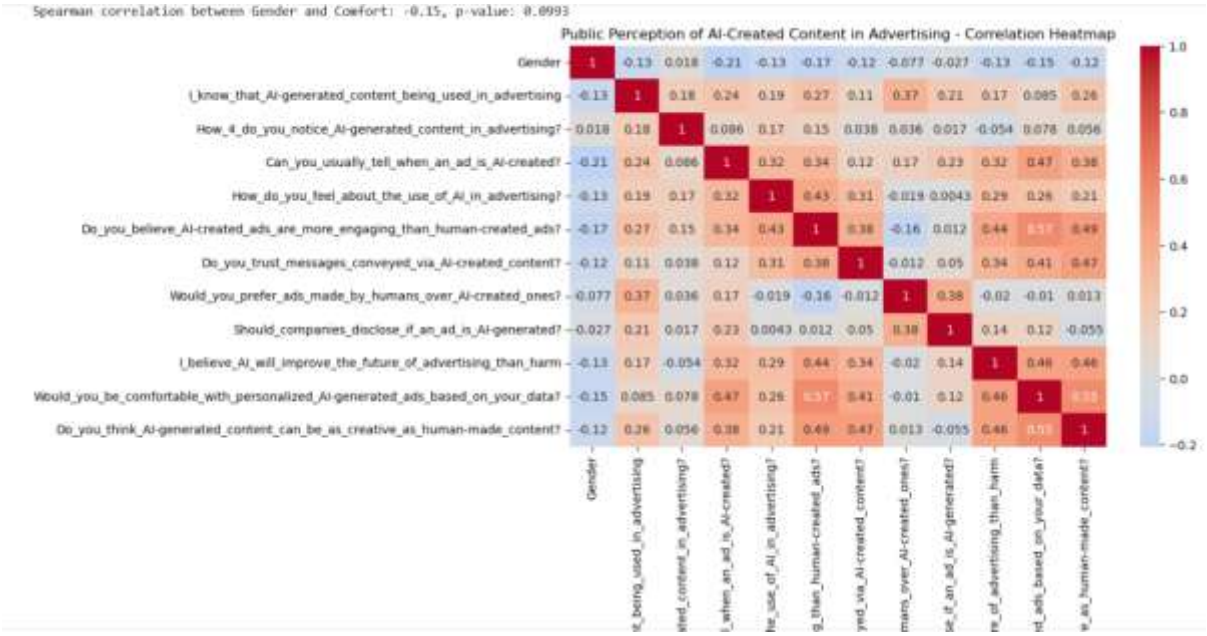
VARIABLES INVOLVED

- Gender
- Comfort

HYPOTHESES

•Null Hypothesis (H0): There is no significant relationship between Gender and comfort.

•Alternative Hypothesis (H1): There is a significant relationship between gender and comfort.



KEY RESULTS

•Spearman's Rho (correlation coefficient): -0.15

•p-value: 0.0993

INFERENCE

The p-value of 0.0993 is greater than the typical significance level of 0.05. This result is not statistically significant, so we fail to reject the null hypothesis.

6.2 REGRESSION

VARIABLES INVOLVED

- Trust
- Belief

HYPOTHESES

- Null Hypothesis (H0): belief has no significant relationship on trust in messages conveyed via AI-created content.
- Alternative Hypothesis (H1): belief has a significant relationship on trust in messages conveyed via AI-created content.

```
* REGRESSION: Belief → Trust (Strong Relationship) *

                                OLS Regression Results
==============================================================================
Dep. Variable:     Do_you_trust_messages_conveyed_via_AI_created_content   R-squared:                       0.088
Model:                                                              OLS   Adj. R-squared:                  0.081
Method:                                                   Least Squares   F-statistic:                     12.02
Date:                                                  Thu, 27 Nov 2025   Prob (F-statistic):           0.000725
Time:                                                          18:12:56   Log-Likelihood:                -180.24
No. Observations:                                                   126   AIC:                             364.5
Df Residuals:                                                       124   BIC:                             370.1
Df Model:                                                             1
Covariance Type:                                              nonrobust
==============================================================================
                                                 coef    std err          t      P>|t|      [0.025      0.975]
------------------------------------------------------------------------------
const                                          1.5023      0.206      7.296      0.000       1.095       1.910
How_do_you_feel_about_the_use_of_AI_in_advertising     0.2699      0.078      3.466      0.001       0.116       0.424
```

KEY RESULTS

- Coefficient (Belief → Trust): 0.2699
- t-statistic: 3.466
- p-value: 0.0007
- R-squared: 0.088
- Adjusted R-squared: 0.081
- F-statistic: 12.02 (p = 0.000725)
- Constant (Intercept): 1.5023

INFERENCE

The p-value for Age group (0.0007) is less than 0.05, which means the relationship is statistically significant. This indicates that belief has a meaningful effect on how much respondents trust messages conveyed via AI-created content.

6.3 CHI-SQUARE

VARIABLES INVOLVED

- Gender
- Belief

HYPOTHESES

•Null Hypothesis (H0): There is no significant association between gender and belief the variables are independent

•Alternative Hypothesis (H1): There is an significant association between gender and belief the variables are dependent.

```
Chi-square: 10.3148
p-value: 0.0354
Degrees of freedom: 4
```

KEY RESULTS

•Chi-square statistic: 10.3148

•Degrees of freedom: 4

•p-value: 0.0354

INFERENCE

The p-value of 0.0354 is lesser than the typical significance level of 0.05. This means the result is statistically significant, and we reject the null hypothesis.

6.3.1 CHI-SQUARE

VARIABLES INVOLVED

- Occupation
- Concern

HYPOTHESES

- Null Hypothesis (H0): There is no significant association between a person's occupation and their concerns about AI advertising the two variables are independent.
- Alternative Hypothesis (H1): There is an significant association between a person's occupation and their concerns about AI advertising the two variables are dependent.

```
Chi-square Test: Occupation vs Concerns about AI Ads
Chi-square statistic: 42.88
Degrees of freedom: 39
P-value: 0.3084
```

KEY RESULTS

- Chi-square statistic: 42.88
- Degrees of freedom: 39
- p-value: 0.3084

INFERENCE

The p-value of 0.3084 is significantly higher than the standard alpha level of 0.05. Because the p-value is not statistically significant.

6.4 ONE-WAY ANOVA

VARIABLES INVOLVED

- Preference
- Education level

HYPOTHESES

- Null Hypothesis (H0): There is no statistically significant difference in the mean of the dependent variable across the different levels of Education level.
- Alternative Hypothesis (H1): There is a statistically significant difference in the mean of the dependent variable for at least one of the Education level groups.

ANOVA Table:

	sum_sq	df	F	PR(>F)
C(Education_level)	4.900654	3.0	1.576973	0.198422
Residual	126.377124	122.0	NaN	NaN

KEY RESULTS

- F-statistic: 1.576973
- Degrees of freedom: 3 (between groups) and 122 (within groups)
- p-value (PR(>F)): 0.198422

INFERENCE

The p-value of 0.198422 is greater than the standard significance level of 0.05. Therefore, the result is not statistically significant. This means that we do not have enough evidence to reject the null hypothesis.

6.4.1 ONE-WAY ANOVA

VARIABLES INVOLVED

- Age Group
- Trust

HYPOTHESIS

- Null Hypothesis (H0): There is no statistically significant difference in the mean trust level in AI-created content across different age groups.
- Alternative Hypothesis (H1): At least one age group has a statistically significant different mean trust level in AI-created content.

```
🔹 ONE-WAY ANOVA: Age Group → Trust in AI-created Content 🔹
F-statistic: 2.7122
P-value: 0.0233
```

KEY RESULTS

- F-statistic: 2.7122
- p-value: 0.0233

INFERENCE

The p-value (0.0233) is below the 0.05 significance level, meaning the result is statistically significant. This indicates that we reject the null hypothesis.

CHAPTER 7
BUSINESS IMPLICATIONS

7.1 HOW INSIGHTS CAN SUPPORT DECISION-MAKING

The insights from this study will help businesses, advertisers, and marketers make informed decisions about how to adopt and implement AI in their advertising strategies. By understanding public attitudes, levels of trust, and acceptance of AI-generated content, decision-makers can determine the degree of transparency, personalization, and human involvement required in campaigns. These findings can guide choices on content design, communication strategies, and ethical disclosure practices to build stronger consumer trust and engagement.

7.2 POTENTIAL IMPACT ON COST, REVENUE, EFFICIENCY, OR CUSTOMER SATISFACTION

- **Cost Efficiency**: Businesses can optimize advertising budgets by balancing AI automation with human creativity, reducing unnecessary spending while maintaining quality.
- **Revenue Growth**: By tailoring ads to match consumer preferences and perceptions, companies can improve targeting accuracy, leading to higher conversion rates and increased revenue.
- **Operational Efficiency**: Insights into consumer comfort with AI-driven personalization allow organizations to streamline processes and deliver more timely, data-driven campaigns.
- **Customer Satisfaction and Trust**: Addressing consumer concerns about authenticity, transparency, and privacy can improve overall brand loyalty, ensuring that customers feel respected and valued rather than manipulated.

Overall, the findings of this study provide actionable guidance for organizations to integrate AI responsibly into advertising, ensuring that technological innovation enhances rather than undermines consumer relationships.

7.3 STRATEGIC RECOMMENDATIONS

FOR ADVERTISING AGENCIES AND MARKETERS

1. Prioritize Privacy-First Approaches

- Implement robust data protection measures and communicate them clearly
- Develop AI advertising strategies that minimize data collection requirements
- Adopt privacy-by-design principles in AI advertising campaigns

2. Embrace Transparency as a Competitive Advantage

- Proactively disclose AI usage in advertising rather than waiting for regulatory requirements
- Create clear labelling systems for AI-generated content
- Use transparency as a differentiating factor and trust-building mechanism

3. Focus on Video and Interactive Content

- Leverage the preference for videos/animations (54%) and voiceovers (42.1%) in AI advertising
- Invest in AI technologies that excel at creating engaging visual and audio content
- Reduce reliance on AI-generated text content, which shows lower consumer preference (27%)

4. Target Digital Platforms Strategically

- Concentrate AI advertising efforts on YouTube and social media platforms
- Develop platform-specific AI advertising strategies
- Consider reducing AI advertising investment in traditional media channels

FOR TECHNOLOGY COMPANIES

1. Develop Better Detection-Resistant AI

- Improve AI technologies since 52.3% of users believe they can identify AI-generated ads
- Focus on creating more authentic and human-like AI-generated content
- Invest in AI that maintains creativity while appearing more natural

2. Address Authenticity Concerns

- Develop AI systems that can create more genuine, emotionally resonant content
- Focus on AI that enhances rather than replaces human creativity

- Create hybrid human-AI collaborative tools

FOR POLICYMAKERS AND REGULATORS

1. Establish Clear Disclosure Requirements

- Mandate transparent labelling of AI-generated advertising content
- Create standardized disclosure formats across platforms
- Ensure consumers can easily identify AI-generated advertisements

2. Strengthen Data Protection Frameworks

- Address the primary consumer concern through robust privacy legislation
- Establish clear guidelines for AI advertising data usage
- Create enforcement mechanisms for privacy violations in AI advertising

3. Support Workforce Transition

- Address job displacement concerns (27.8%) through retraining programs
- Promote human-AI collaboration rather than replacement models
- Invest in creative industry adaptation to AI technologies

FOR INDUSTRY ASSOCIATIONS

1. Develop Best Practice Guidelines

- Create industry standards for ethical AI advertising
- Establish certification programs for responsible AI advertising practices
- Promote self-regulation to prevent heavy-handed government intervention

2. Invest in Public Education

- Launch awareness campaigns about AI advertising benefits and safeguards
- Address misconceptions and fears through factual information
- Promote the positive aspects of AI advertising while acknowledging legitimate concerns.

CHAPTER 8

LIMITATIONS AND FUTURE SCOPE

8.1 STUDY LIMITATIONS

While this study provides valuable insights into public perceptions of AI-generated content in advertising, it is subject to several limitations that should be acknowledged. These limitations affect the generalizability of the findings and highlight areas for caution in interpretation.

- **Sample Bias:** The current study may overrepresent certain demographic groups, particularly younger, highly educated males who are more familiar with digital technologies. This could skew the results toward greater acceptance and familiarity with AI-generated content, potentially underestimating skepticism or caution in other demographic groups. As a result, the findings may not fully reflect the attitudes of older populations, individuals with lower levels of education, or those with limited exposure to digital platforms. Researchers should consider these biases when interpreting the results and applying them to broader consumer populations.
- **Geographic Scope:** The research is limited to specific regions or locations, which may not capture variations in cultural, social, and economic contexts that influence public perception. Attitudes toward AI in advertising can vary widely between urban and rural areas, across different countries, and among culturally diverse populations. The limited geographic representation restricts the ability to generalize findings globally and emphasizes the need for caution when applying conclusions outside the studied areas.
- **Temporal Factor:** The field of AI-driven advertising is rapidly evolving. Technologies, platforms, and public awareness are changing at a fast pace, which means that perceptions captured at a single point in time may quickly become outdated. As AI tools become more sophisticated and ubiquitous, consumers' trust, familiarity, and ethical concerns may shift, limiting the long-term relevance of the current findings. Future studies will need to consider these temporal dynamics to track evolving consumer attitudes over time.
- **Methodological Constraints:** The study primarily relies on surveys and self-reported data. While these methods are effective for gathering general perceptions, they are subject to response biases, such as social desirability, misinterpretation of questions, or selective memory. Additionally, the study does not measure the direct impact of AI-generated advertising on actual consumer behavior, such as purchase decisions,

engagement metrics, or brand loyalty, which limits understanding of real-world effectiveness.

8.2 FUTURE SCOPE

- The findings of this study have significant potential for both practical application and further exploration in the advertising and marketing industry. As AI continues to transform how content is created and delivered, understanding consumer perceptions becomes critical for businesses aiming to maintain trust, engagement, and ethical practices. The insights from this research can help marketers design AI-generated campaigns that are both effective and aligned with consumer expectations, ensuring that personalization and automation do not compromise authenticity.
- This study also provides a foundation for integrating AI responsibly into advertising strategies across industries. Brands can use the findings to implement transparency measures, ethical disclosures, and content personalization strategies that respect consumer preferences and foster loyalty. Additionally, AI developers can leverage these insights to refine algorithms and creative tools in ways that enhance consumer satisfaction while minimizing perceptions of manipulation or impersonality.
- The scope extends to the potential for **cross-industry and cross-cultural applications**, allowing organizations to adapt AI-generated advertising to diverse markets and audience segments. As technology and consumer awareness evolve, businesses can use this research to anticipate shifts in public sentiment, design more adaptive campaigns, and create guidelines for ethical and responsible AI use. Ultimately, this study lays the groundwork for a future where AI complements human creativity in advertising, improving efficiency, engagement, and brand-consumer relationships while maintaining trust and ethical integrity.

CHAPTER 9
CONCLUSION

9.1 SUMMARY OF FINDINGS

- The study surveyed 126 participants, with a majority being young, highly educated males, which shaped the overall responses.
- YouTube (51.6%) emerged as the leading platform for AI ad exposure, followed closely by social media platforms like Instagram and TikTok (43.7%), while TV lagged behind at only 23%.
- 53.2% of respondents had positive attitudes toward AI-created ads, though a significant 27.8% expressed negative perceptions, showing mixed acceptance.
- Trust levels were divided: 47.6% trusted AI-generated ads, yet a large 69% still preferred human-made ads, highlighting the authenticity premium.
- Interestingly, 50.8% found AI ads more engaging despite this preference for human content, suggesting novelty and curiosity drive engagement.
- Privacy concerns topped the list (50%), with additional worries about authenticity (30.2%) and potential job displacement in creative fields (27.8%).
- A strong 65.8% wanted disclosure whenever AI is used in advertising, reflecting demand for transparency and informed choice.
- When it comes to creativity, 45.2% felt AI matches humans, but detection of AI content varied—many were confident, but accuracy remains uncertain.
- Statistical analysis revealed a moderate positive correlation ($\rho = 0.57$) between comfort with AI ads and engagement levels, meaning familiarity could improve acceptance.
- Overall, findings suggest that AI ads generate curiosity and engagement but raise trust, privacy, and authenticity concerns, signaling the need for balance in future advertising strategies.

9.2 FINAL REMARKS

The research reveals a critical juncture for AI advertising adoption. While public sentiment leans positive (53.2%), the path to widespread acceptance requires addressing fundamental concerns about privacy, authenticity, and transparency. The moderate correlation ($r = -0.15$) between gender and comfort suggests that as consumers become more comfortable with AI advertising, has no significant relationship between them.

Success in AI advertising will depend not on the sophistication of the technology alone, but on the industry's commitment to ethical implementation, transparent practices, and genuine concern for consumer welfare. Companies that prioritize privacy protection, embrace transparency, and maintain authenticity will likely capture the benefits of this emerging advertising frontier while building lasting consumer trust.

The data suggests we are witnessing the early stages of a significant shift in advertising methodology. Organizations that act on these insights—particularly the transparency imperative and privacy-first approach—will be best positioned to navigate this transformation successfully while contributing to a more ethical and consumer-friendly AI advertising ecosystem.

APPENDICES

APPENDIX A

1.Burrow, E., & Gutentag, J. (2025). AI-generated Versus Human-generated: Creative Content in Advertising. Pepperdine Journal of Communication Research, 13(1), 8.

2.Gkourla, A., & Schafraad, P.(2024).Disclosure in Advertising: How do consumers perceive AI-generated images?.

3.Han, S. (2024). Consumer Perceptions of AI-Generated Content and Disclaimer in Terms of Authenticity, Deception, and Content Attribute.

4.Van der Stappen, N., & Tomas, F.(2024).Evaluating consumer responses to AI-generated imagery in social media advertisements.

5.Baek, T. H., Kim, J., & Kim, J. H. (2024). Effect of disclosing AI-generated content on prosocial advertising evaluation. International Journal of Advertising, 1-22.

6.Rae, I. (2024, May). The effects of perceived AI use on content perceptions. In Proceedings of the 2024 CHI Conference on Human Factors in Computing Systems (pp. 1-14).

7.Denslinger, A. T. (2025). Deceptive Authenticity: Consumer Perceptions of AI-Generated Deepfake Advertising and the Impact on Consumer Behavior (Doctoral dissertation, Capitol Technology University).

8.Dang, N. (2025). The Influence of AI-Generated Visual Content on Influencer Marketing Strategies in Social Media. Reviews on Internet of Things (IoT), Cyber-Physical Systems, and Applications, 10(3), 1-18.

9.Aronsten, A. (2025). AI-Generated Visuals and Virtual Influencers: Shaping International Perceptions of Authenticity in Destination Marketing (Master's thesis, Itä-Suomen yliopisto).

10.Huh, J., Nelson, M. R., & Russell, C. A. (2023). ChatGPT, AI advertising, and advertising research and education. Journal of Advertising, 52(4), 477-482.

11.Enache, M. C. (2020). AI for Advertising. Annals of the University Dunarea de Jos of Galati: Fascicle: I, Economics & Applied Informatics, 26(1), 28-32.

12.Rodgers, S. (2021). Themed issue introduction: Promises and perils of artificial intelligence and advertising. Journal of Advertising, 50(1), 1-10.

13.Xin, Q., He, Y., Pan, Y., Wang, Y., & Du, S. (2023). The implementation of an AI-driven advertising push system based on a NLP algorithm. International Journal of Computer Science and Information Technology, 1(1), 30-37.

14.Dimitrieska, S. (2024). Generative artificial intelligence and advertising. Trends in economics, finance and management journal, 6(1), 23-34.

15.Buch, I., & Thakkar, M. (2021). AI in Advertising.

16.Başev, S. E. (2024). The role of artificial intelligence (AI) in the future of the advertising industry: Applications and examples of AI in advertising. International Journal of Education Technology and Scientific Researches, 9(26), 167-183.

17.Prem, Arun & Koshy, Ligo & Kg, Jibumon. (2025). PUBLIC PERCEPTION AND ADOPTION OF AI-DRIVEN MARKETING: TRUST, PRIVACY CONCERNS, AND CONSUMER BEHAVIOR. XXXIII. 3-20.

18. Cha, E., & Wang, D. (2025).A Study of the Relationship Between Artificial Intelligence Generated Image Advertising and Consumer Brand Awareness.

19.Wortel, C., Vanwesenbeeck, I., & Tomas, F. (2024). Made with artificial intelligence: The effect of artificial intelligence disclosures in Instagram advertisements on consumer attitudes. Emerging Media, 2(3), 547-570.

20.Ivanov, S. V. (2025).Generative AI for Advertising and PR Content Creation–Qualitative Research Results.

21.Nabb, E., & Pettersson, L. (2024). Beyond the click: An exploratory investigation of consumer privacy and trust in AI-Driven Targeted Advertising.

22.Al Kautsar, I., Sulistiyono, A., & Muryanto, Y. T. (2024). When AI Meets Advertising: The Potential of Misleading and Regulatory Framework on Consumer Protection. In SHS Web of Conferences (Vol. 204, p. 07007). EDP Sciences.

23.Sands, S., Demsar, V., Ferraro, C., Wilson, S., Wheeler, M., & Campbell, C. (2025). Easing AI-advertising aversion: how leadership for the greater good buffers negative response to AI-generated ads. International Journal of Advertising, 1-21.

24. Adesina, T. (2025). AI Agents in the Advertising Industry.

25.Sartori, L., & Bocca, G. (2023). Minding the gap (s): public perceptions of AI and socio-technical imaginaries. AI & society, 38(2), 443-458.

26.Ortega, J. H. J. C. (2025, August). Examining the Disruptive Influence of Artificial Intelligence on Digital Marketing and Advertising in the Philippines. In 2025 IEEE 16th Control and System Graduate Research Colloquium (ICSGRC) (pp. 19-24). IEEE.

27.Rauvala, S. (2023). Shaping Contemporary Promotions–The Role and Consequences of Artificial Intelligence in Advertising.

28.Suraña-Sánchez, C., & Aramendia-Muneta, M. E. (2024). Impact of artificial intelligence on customer engagement and advertising engagement: A review and future research agenda. International Journal of Consumer Studies, 48(2), e13027.

29.Peter, R., Roshith, V., Lawrence, S., Mona, A. E., Narayanan, K. B., & Yusaira, F. (2025). Gen AI–Gen Z: understanding Gen Z's emotional responses and brand experiences with Gen AI-driven, hyper-personalized advertising. Frontiers in Communication, 10, 1554551.

30.Akbari, D. A., Sumarwan, U., Hasanah, N., & Edison, R. E. (2023). COMPARING THE EFFECTIVENESS OF HUMAN AND AI GENERATED ENDORSERS IN ADVERTISING CAMPAIGNS. Agregat: Jurnal Ekonomi dan Bisnis, 7(2).

APPENDIX B

1.Age group

Under 18

18-24

25–34

35–44

45–54

55 and above

2.Gender

Male

Female

3.Education level

High school or below

Undergraduate degree

Postgraduate degree

Doctorate

Other:

4.Occupation

Student

Professional

Business owner

Employee

Other:

5.Where have you encountered AI-generated ads?

Social media (Instagram, TikTok, etc.)

YouTube

TV commercials

Websites

6.Which type of AI-generated content have you seen in ads?

Images

Voiceovers

Text

Videos/animations

7.I know that AI-generated content being used in advertising

Strongly disagree

Disagree

Neutral

Agree

Strongly Agree

8.How often do you notice AI-generated content in advertising?

Always

Often

Sometimes

Rarely

Never

9.Can you usually tell when an ad is AI-created?

Strongly disagree

Disagree

Neutral

Agree

Strongly agree

10.How do you feel about the use of AI in advertising?

very negative

1

2

3

4

5

very positive

11.Do you believe AI-created ads are more engaging than human-created ads?

Strongly disagree

Disagree

Neutral

Agree

Strongly agree

12.What concerns do you have about AI-generated advertising?

Job loss in creative fields

Lack of authenticity

Data privacy issues

Bias in content

13.Do you trust messages conveyed via AI-created content?

Strongly disagree

Disagree

Neutral

Agree

Strongly agree

14.Would you prefer ads made by humans over AI-created ones?

Strongly disagree

Disagree

Neutral

Agree

Strongly agree

15.Should companies disclose if an ad is AI-generated?

Strongly disagree

Disagree

Neutral

Agree

Strongly Agree

16. I believe AI will improve the future of advertising than harm

Strongly disagree

Disagree

Neutral

Agree

Strongly agree

17.Would you be comfortable with personalized AI-generated ads based on your data?

Strongly disagree

Disagree

Neutral

Agree

Strongly agree

18.Do you think AI-generated content can be as creative as human-made content?

Strongly disagree

Disagree

Neutral

Agree

Strongly agree